

Problem Statement

Initiation Phase

Cloud Migration Project

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Current State

The organization currently operates 47 business-critical applications on-premises across three data centers located in London, Frankfurt, and Singapore. These applications support core business functions including customer relationship management, enterprise resource planning, financial reporting, supply chain management, and internal collaboration tools.

The existing infrastructure was procured between 2018 and 2020 and is approaching end-of-life for hardware support contracts. The organization employs approximately 3,200 staff across 12 countries, with 68% of employees relying on these applications for daily operations.

Problem

The organization is experiencing the following business problems:

- Scalability Limitations:** The current on-premises infrastructure cannot scale to accommodate seasonal demand peaks. During Q4 2025, application response times degraded by 40% during peak periods, resulting in measurable productivity losses across sales, customer service, and finance teams.
- Rising Infrastructure Costs:** Annual infrastructure maintenance costs have increased by 22% over the past three years, driven by hardware refresh requirements, software licensing renewals, and expanding data storage needs. The current cost trajectory is not sustainable relative to the value delivered.
- Operational Inefficiency:** The IT operations team spends approximately 65% of its time on infrastructure maintenance and patching activities rather than business-enabling initiatives. This ratio has worsened from 45% two years ago.
- Business Continuity Risk:** Two of the three data centers do not meet the organization's updated disaster recovery requirements. Recovery Time Objective (RTO) and Recovery Point Objective (RPO) targets for Tier 1 applications cannot be consistently met with the current architecture.
- Innovation Barrier:** The time required to provision new environments for development and testing averages 6 weeks, significantly impacting the organization's ability to deliver digital transformation initiatives requested by business units.
- Compliance Exposure:** Evolving data residency regulations across operating jurisdictions require infrastructure capabilities that the current on-premises environment cannot provide without significant additional investment.

Business Impact

- Revenue Impact:** Application performance degradation during peak periods contributed to an estimated 3.2% reduction in Q4 2025 online transaction completion rates.
- Cost Escalation:** Infrastructure costs are projected to increase by an additional 18-25% over the next 24 months if no action is taken.
- Productivity Loss:** Staff productivity losses attributable to application performance issues are estimated at 1,200 person-hours per quarter.
- Risk Exposure:** Two data centers fall below the organization's minimum business continuity standards, creating potential regulatory and operational risk.

- **Strategic Delay:** Three approved digital transformation initiatives are currently blocked pending infrastructure modernization.

Consequences of Inaction

If the organization does not address these problems within the next 12-18 months:

- Infrastructure costs will exceed the budget by an estimated \$2.4M annually
- Application performance will continue to degrade as demand grows
- The organization will be unable to meet upcoming data residency compliance deadlines
- Business continuity posture will remain below acceptable risk thresholds
- Digital transformation initiatives will remain blocked, impacting competitive positioning
- IT talent retention may be affected as engineers spend increasing time on maintenance rather than innovation

Need for Change

The organization requires a structured approach to modernize its application hosting infrastructure, reduce operational costs, improve scalability and resilience, and enable future business transformation. The current state is unsustainable and creates increasing business risk with each quarter of inaction.

Note: This document describes the business problem only. It does not propose a solution or define implementation activities. Solution options will be evaluated as part of the project planning process.